CMLI Select Program: Financing & Investment Overview

1. Program Essentials and Core Benefits

The CMHC MLI (Multi-Unit Mortgage Loan Insurance) Select Program is a flexible mortgage insurance product designed to support the **development, refinancing, and acquisition of multi-unit residential properties**. The program provides favorable loan terms and insurance benefits for properties that demonstrate a commitment to **affordable housing, energy efficiency, and accessibility**.

Eligibility and Scope

- **Who is Eligible?** Eligibility is open to **Canadian borrowers**, including developers, real estate investors, and property managers.
- **Minimum Units:** The property must consist of **at least five units** to qualify as a multi-unit residential property. There is no strict upper limit on the number of units that can be insured.
- **Criteria:** Applicants must meet specific criteria related to the program's three core social outcomes: affordability, energy efficiency, and accessibility.

Key Financial Advantages

The MLI Select program offers terms that are significantly more favorable than traditional construction financing:

- **Higher Leverage:** Access to **Loan-to-Value (LTV) Ratios** of up to **95%** for qualifying affordable housing properties.
- **Extended Amortization:** Amortization periods can be extended up to **50 years**, offering highly favorable repayment terms.
- **Reduced Premiums:** Insurance premium discounts are available based on the project's performance in meeting affordability, energy efficiency, or accessibility standards.
- **Favorable Interest Rates:** The program often offers **below-prime interest rates** and fixed-rate mortgages with up to 10-year terms.
- **Financing Scope:** Applicable to both **new construction projects** and the acquisition or refinancing of existing properties.

2. The Three Core Pillars (Scoring & Criteria)

The program's most favorable benefits are accessed through a point system, rewarding projects that excel across the three pillars:

Affordability

- **Incentive Mechanism:** The program incentivizes affordable housing by offering lower insurance premiums and higher LTV ratios for properties that commit to maintaining **below-market rents** for a portion of their units.
- **Definition:** CMHC defines affordable housing based on **benchmark rents** for specific areas, not low-income or government-subsidized housing. It refers to units rented at or below the area's benchmark affordable rent.
- **Minimum Threshold:** As little as **10% of the units** in a project may need to meet the area's benchmark affordable rent to qualify for incentives. Not all units in a project need to be affordable.
- **Unit Type:** Smaller units, like studios or basement apartments, often qualify as "affordable." These units are still rented on the open market, and 'affordable' does not preclude selecting the best tenants based on applications.
- **Additional Charges:** The affordability requirement applies only to the unit itself, meaning additional fees for extras like parking or storage lockers **can be applied** to affordable units.

Energy Efficiency

- **Qualification:** Properties must achieve energy efficiency standards through renovations or new construction that reduces energy consumption.
- **Scoring:** Projects that achieve a **15% or greater improvement over provincial energy codes** or the existing baseline may be eligible for better terms and discounts.
- **Benefits:** Energy efficiency is a core pillar in the scoring system. Improvements (e.g., high-efficiency HVAC systems or improved insulation) not only earn points but also reduce long-term operating costs and increase the overall resale or refinancing value of the property.

Accessibility

- **Incentives:** The program encourages accessibility by offering better financing terms and lower premiums for properties that improve or maintain accessibility features.
- **Features:** Projects earn points by including features such as **barrier-free units** or accessible common areas, designed to make the property inclusive for individuals with disabilities.
- **Building Codes:** Meeting accessibility requirements is often straightforward, as most building codes already mandate barrier-free units, which helps meet criteria for incentive programs without usually adding extra cost.

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3. Financial Mechanics and Investor Strategy

Capital and Risk Management

- **95% Loan-to-Cost (LTC):** This feature means qualifying new construction projects can receive up to **95% financing of total project costs**. This includes the mortgage plus all development expenses such as legal costs and architectural fees. Investors only need to cover **5%** of the total project cost out of pocket.
- **Maximum Incentives (100 Points):** Projects that achieve **100 points** across all three pillars gain access to the best terms: lowest insurance premiums, up to 95% loan-to-cost, and up to 50-year amortizations.
- **Project Viability:** CMHC ensures a project's financial viability by requiring a minimum **Debt Service Coverage Ratio (DSCR) of 110%**. This means the rental income must cover at least 110% of the building's costs.
- **Limited Recourse Financing:** This feature, available in certain cases (such as achieving 100 points), provides a layer of protection. It means the lender cannot pursue the borrower for more than a **limited portion of the loan** in the event of default, reducing personal risk.
- **Peripassu:** This term describes the ability to place **second mortgages** on a stabilized project, allowing investors to extract up to 95% of the loan-to-value as the building appreciates, providing capital for re-investment.

Investor Focus and Timelines

- **Shift to Wholesale:** MLI Select enables investors to access **"wholesale-level"** real estate opportunities (large multi-unit properties) that offer more favorable terms (higher LTVs, longer amortization, lower premiums) than traditional retail investing (single-family homes), facilitating greater wealth accumulation through scale.
- **Personal Qualifications:** CMHC focuses on the **strength of the building's financials** over the investor's personal income or credit score. An investor may qualify for financing by providing the required 5% deposit and demonstrating a net worth of **25% of the project value**, regardless of personal income or credit.
- **Mortgage Start Date:** Mortgage payments commence **after the project is completed and stabilized**.
- **Deposit Security:** In certain deal structures, the investor's deposit is secure **because the investor owns the land**.
- **Rental Rate Determination:** Rental rates are determined using **local market data combined with CMHC benchmark rents** for the area.

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4. Government Rebates and Recent Updates

GST/HST Rebate for New Rental Housing

- **100% Rebate:** The Government of Canada provides a **100% rebate of the Goods and Services Tax (GST)**, or the federal portion of the Harmonized Sales Tax (HST), on new **purpose-built rental housing (PBRH)**.
- **Qualification Rule:** The GST rebate applies to any new PBRH complex with **four or more units**.
- **Misunderstanding Clarified:** Exclusions listed on the CRA website for detached homes, duplexes, and triplexes **only apply if the property has fewer than four units**. For example, three duplexes on a single title constitute a six-unit rental complex and thus qualify.
- **Communication Tip:** When contacting CRA, it is crucial to accurately describe the property as "**# of units on a single title, purpose-built for rental**" to avoid confusion with detached homes.

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Recent CMHC Updates

- **Inclusion Rate:** CMHC has recently increased the mortgage inclusion rate to allow loans of up to **$1.5 million with amortizations extended to 30 years** for residential properties.
- **Smaller Multi-Units:** The scope was expanded for smaller multi-unit properties (3-plexes and 4-plexes) to access **90% loans with 30-year amortizations**.

Conclusion: Leverage government-backed financing to maximize your investment—work with the current to profit.

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